

Aldo nodded, pleased that I understood. "I love America," he said. "In Yugoslavia a man works at what the state gives him to do. No one has the freedom to do what you've done. No one."

The United States is short on kings, blacksmiths, and gruel these days, at least outside of Boston. Modern living requires more infrastructure, and that costs money. We've seen that 4 million young Americans have or are approaching \$400,000 or \$500,000 of net worth. With that much money you can retire now, converting your assets to cash and investing in one-year CDs. You'll be able to pay taxes, set aside for inflation, and live well.

But how about the rest of you, those with less than \$400,000 or \$500,000, who want to retire anyway? My first advice is to hold your horses. Keep working, if at all possible, until you get to \$400,000. Follow the advice in chapter 10 and you'll get there fast.

In some cases, though, \$400,000 of net worth may be an impossible dream. Your chosen vocation may pay peanuts. You may get fired before you reach \$400,000 and have trouble finding a new job. Or you may want to retire *now*. You may be fed up with the system and desperate to get out. You may want more time with your kids while they're young, not when you happen to reach \$400,000 of net worth. Like the blacksmith, you may choose to do exactly what you want with your life.

With a few special rules, it's possible to retire with as little as \$100,000 in net worth. That's total net worth, including home equity. Retiring with \$100,000 is what I call bare-bones retirement, and the formula is:

Do your arithmetic

Do some soul-searching

Do what you want

It's the same formula as for the guy with a bigger stash. Most of the rules that support the formula apply whether you